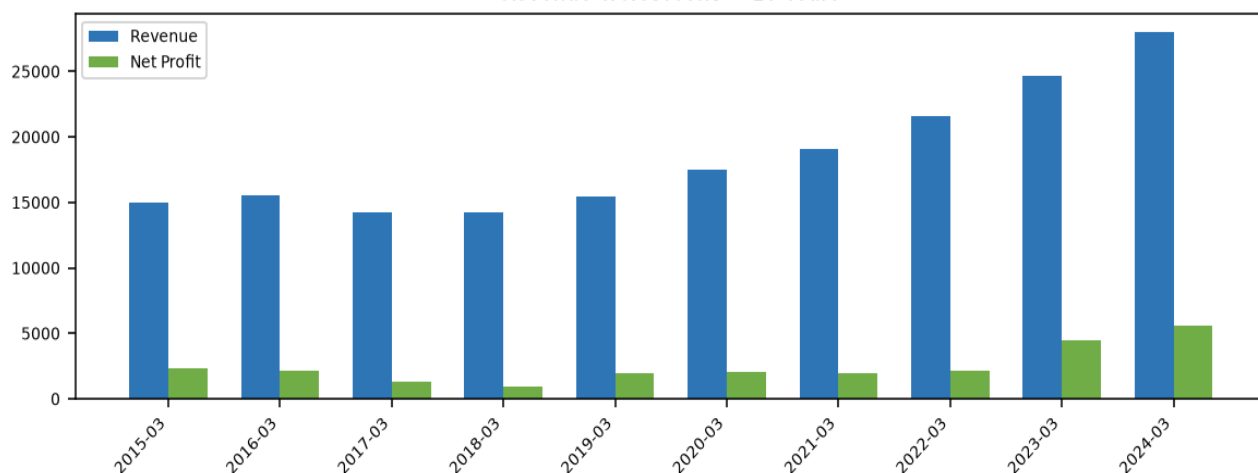


Dr Reddys Laboratories Ltd (DRREDDY)

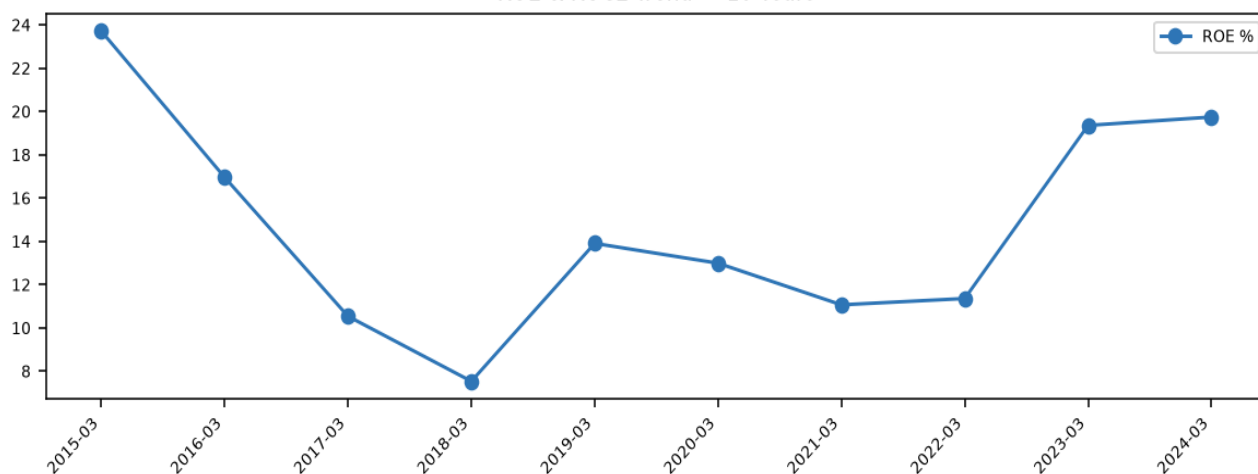
Sector: Healthcare

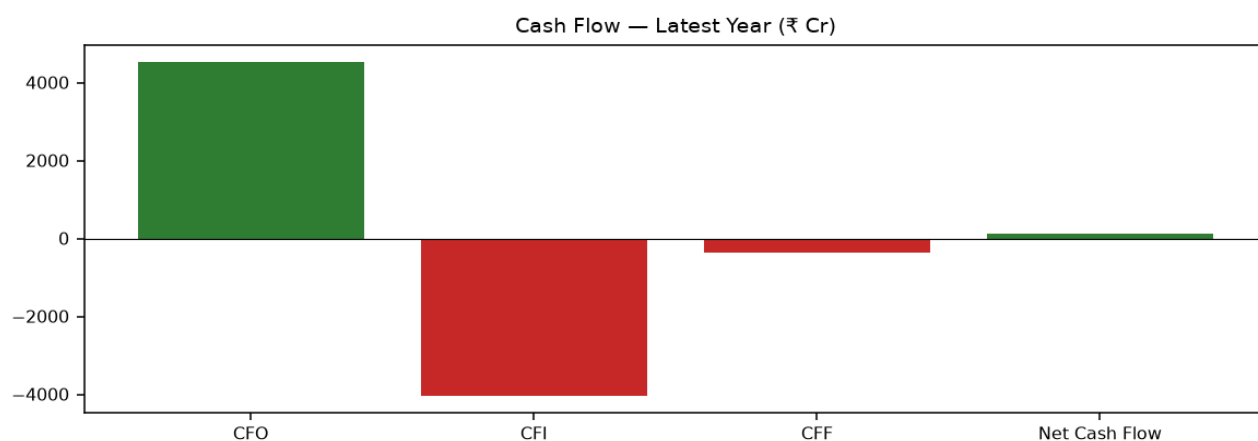
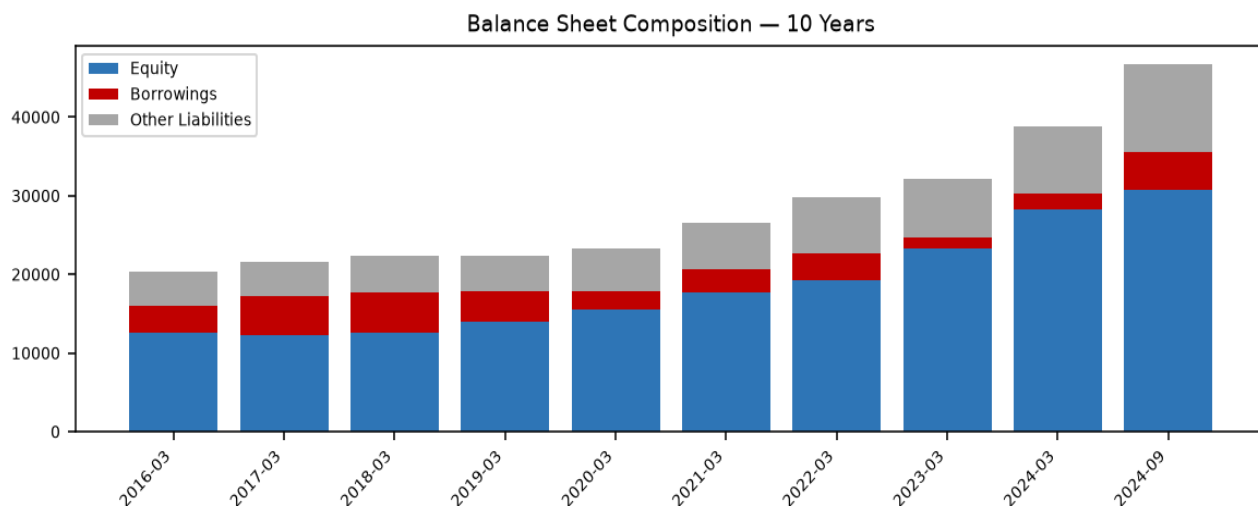
ROE	ROCE	NPM
19.74%	N/A	19.91%
D/E	Revenue CAGR 5yr	FCF (■ Cr)
0.07	12.64%	509.00

Revenue & Net Profit — 10 Years



ROE & ROCE Trend — 10 Years





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend payout backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

No cons recorded.

Capital Allocation: Reinvestor